BERNSTEIN
SOCIETE GENERALE GROUP

26 October 2026

Global Energy Storage

Global Energy Storage: Korean 3Q Preview - AIDC demand supports margin recovery



Neil Beveridge, Ph.D.
+852 2123 2648
neil.beveridge@bernsteinsg.com



Brian Ho, CFA
+852 2123 2615
brian.ho@bernsteinsg.com



Katherine Li
+852 2123 2694
katherine.li@bernsteinsg.com



Kelvin Yuan, Ph.D., CFA
+852 2123 2612
kelvin.yuan@bernsteinsg.com

Korean battery makers are due to report 3Q26 earnings over the next few weeks, and we revisit our forecasts ahead of the results. 2026 appears to be a turning point for the Korean battery makers, with stronger ESS and AIDC demand offsetting weakness in EV batteries and supporting higher shipments, utilization and margins. LGES's preliminary 3Q results provide the first evidence of this inflection and suggest that profitability is recovering faster than expected. We expect the improvement to continue through 2H26 for both LGES and Samsung SDI.

LGES: Preliminary 3Q results indicate a faster-than-expected recovery. LGES reported 3Q26 revenue excluding AMPC of KRW9.2tn and operating profit excluding AMPC of KRW339bn, implying a 3.7% operating margin and a return to positive underlying profitability after a loss in 2Q. We expect the recovery to continue into 4Q, with operating margin excluding AMPC rising to 5.3%. Gross margin remains at around the high-teens level, but better utilization and operating leverage should support the sequential improvement.

Samsung SDI: We expect a similar earnings inflection, with greater exposure to US storage demand. We forecast 3Q26 revenue excluding AMPC of KRW4.2tn and operating profit excluding AMPC of KRW170bn, equivalent to a 4.0% operating margin. We expect operating margin to improve further to 4.8% in 4Q, alongside gross margin of around 24%. Compared with LGES, SDI has greater exposure to the US and ESS markets, positioning the company more directly to benefit from storage demand, including the growth in AI data center-related demand.

ESS growth is offsetting EV weakness, lifting overall shipments and utilization. In our US demand framework, the increase in ESS and data center battery demand more than offsets the decline in EV demand in 2026. The same dynamic is visible in our company forecasts. For SDI, higher ESS shipments more than offset lower EV shipments, while LGES also sees a significant step-up in storage volumes. With shipment growth running ahead of effective capacity growth, utilization improves and fixed-cost absorption strengthens. We see this as the key driver behind positive low-single-digit operating margins excluding AMPC in 2H26.

SDI offers greater exposure to the theme and trades at a lower multiple, but we believe both stocks are fairly valued. SDI has substantially greater US and ESS exposure than LGES in our 2026 shipment forecasts, while its 2027 EV/EBITDA multiple is lower. We therefore see greater relative leverage to the storage and AI data center theme at SDI. However, both stocks already price in a meaningful earnings recovery. We raise our target prices to KRW560,000 for SDI and KRW403,000 for LGES, but retain Market-Perform ratings on both. LG Chem remains well below intrinsic value as it has done for some time, but without any catalysts (recovery in petchem) we see no obvious trigger for a re-rating.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

First Published: 25 Oct 2026 20:30 UTC Completion Date: 25 Oct 2026 19:07 UTC

BERNSTEIN TICKER TABLE

			23 Oct 2026		TTM		Reported EPS			Reported P/E (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
300750.CH (CATL)	O	CNY	237.60	480.00	(47.5)%	CNY	16.14	20.06	20.13	14.7	11.8	11.8
3750.HK (CATL)	O	HKD	356.80	460.00	(44.7)%	CNY	16.14	20.06	20.13	18.8	15.1	15.1
247540.KS (EcoPro BM)	U	KRW	92,800	140,000	(54.3)%	KRW	403.00	854.00	1,963.00	230.3	108.7	47.3
051910.KS (LG Chem)	M	KRW	229,000	**326,000**	(52.5)%	KRW	(13,258.70)	**2,181.14**	**21,124**	(17.3)	105.0	10.8
OLD				312,000				2,693.22	28,743			
373220.KS (LGES)	M	KRW	383,000	**403,000**	(31.0)%	KRW	(4,580.94)	**(1,957.63)**	**8,177.30**	(83.6)	(195.6)	46.8
OLD				351,000				(2,364.33)	10,225			
003670.KS (Posco Future M)	U	KRW	160,800	116,000	(42.6)%	KRW	376.72	379.39	781.72	426.8	423.8	205.7
006400.KS (SDI)	M	KRW	490,500	**560,000**	59.4%	KRW	(9,152.13)	**10,279**	**18,889**	(53.6)	47.7	26.0
OLD				520,000				1,751.66	18,577			
300274.CH (Sungrow)	O	RMB	72.20	151.00	(66.0)%	RMB	6.55	6.93	7.95	11.0	10.4	9.1
002466.CH (Tianqi Lithium)	O	CNY	35.99	80.00	(35.7)%	CNY	0.28	3.90	7.75	127.5	9.2	4.6
9696.HK (Tianqi Lithium)	O	HKD	23.38	65.00	(59.2)%	CNY	0.28	3.90	7.75	70.5	5.1	2.6
ASIAX			1,786.55									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate LG Energy Solution Market-Perform, PT KRW403,000/sh; Samsung SDI Market-Perform, PT KRW560,000/sh; and LG Chem Market-Perform, PT KRW326,000/sh.

VALUATION COMPS TABLE

EXHIBIT 1: **Valuation comps**

	Price		EV	Mkt cap	P/E				EV/Sales				Sales Growth
Company	23-Oct	Curcy	USD mn	USD mn	24A	25A	26E	27E	24A	25A	26E	27E	24-25
LGES	383,000	KRW	86,859	67,554	-147.0	-136.3	-236.1	56.8	4.9	5.4	3.6	2.9	-8%
CATL(H)	361.0	HKD	210,302	218,264	0.0	22.1	16.1	13.5	0.0	3.4	2.3	1.9	19%
CATL(A)	237.6	CNY	159,079	167,041	23.5	16.7	12.0	9.9	3.1	2.6	1.7	1.4	19%
Samsung SDI	490,500	KRW	38,330	29,794	43.2	-82.5	53.3	27.8	3.1	4.3	3.2	2.5	-26%
Panasonic	3,631	JPY	61,784	56,746	19.6	25.5	36.0	18.1	1.1	1.1	1.2	1.2	7%
BYD	71.7	HKD	112,188	99,984	18.3	19.4	17.2	13.4	1.1	0.9	0.8	0.7	15%
SK Innovation	138,100	KRW	41,968	17,598	-18.6	-20.2	6.5	6.7	0.8	0.8	0.5	0.6	8%
Gotion High Tech	26.0	CNY	16,646	7,082	60.3	16.1	23.5	19.1	3.3	2.6	1.7	1.4	29%
EVE	44.3	CNY	18,376	14,438	24.5	22.0	13.4	10.1	2.7	1.9	1.2	0.9	41%
Sunwoda	18.7	CNY	11,780	5,183	22.4	17.5	17.4	11.5	1.5	1.2	0.9	0.7	25%
CALB	13.6	HKD	13,977	3,069	36.4	16.5	7.9	5.2	3.2	2.3	1.3	0.9	38%

	LTM	Rel LTM	LTM	LTM	GPM (%)	OPM (%)	ND/E		EV/EBITDA				25A EV/Capacity
Company	%	%	High	Low	25A	25A	24A	25A	24A	25A	26E	27E	(USD M/GWh)
LGES	-40%	-59%	437,500	224,000	18%	6%	40%	48%	36.2	25.7	20.4	13.7	246
CATL(H)	-37%	-24%	795	326	25%	19%	-34%	-46%	0.0	14.5	10.3	8.7	281
CATL(A)	-40%	-27%	469	217	25%	19%	-34%	-46%	13.5	11.0	7.8	6.6	212
Samsung SDI	94%	32%	820,000	257,000	8%	-13%	42%	34%	20.8	113.7	18.8	12.9	610
Panasonic	105%	64%	4,982	1,657	30%	5%	11%	15%	11.8	10.6	13.9	9.2	1,030
BYD	-34%	-23%	113	67	18%	4%	-51%	5%	8.0	7.7	5.8	4.9	239
SK Innovation	12%	-24%	166,000	87,700	6%	1%	78%	68%	21.0	16.7	4.3	6.4	380
Gotion High Tech	-39%	-31%	47.6	24.3	18%	7%	125%	122%	28.7	18.4	13.4	11.3	77
EVE	-46%	-36%	89.9	41.2	17%	8%	37%	49%	19.9	15.4	10.6	8.3	142
Sunwoda	-40%	-29%	37.9	16.0	16%	3%	61%	99%	21.7	19.8	12.5	9.7	144
CALB	-57%	-49%	39.3	12.7	17%	6%	96%	106%	24.1	17.8	8.4	6.5	74

CATL, LG Energy Solution, and Samsung SDI are covered by Neil Beveridge. BYD is covered by Eunice Lee. Panasonic is covered by Kengo Makita. All other stocks are not covered by Bernstein. Source: Bloomberg (consensus estimates) and Bernstein analysis
Source: Bloomberg, Bernstein analysis

DETAILS

2026 IS BECOMING THE EARNINGS INFLECTION YEAR

The upcoming 3Q reporting season should provide a clearer test of the earnings recovery underway at Korean battery makers. LGES's preliminary results already provide an encouraging first indication, with operating profit excluding AMPC returning to positive territory in 3Q after a loss in 2Q. We expect SDI to show a similar improvement, with operating profit excluding AMPC rising sequentially in both 3Q and 4Q. On our forecasts, both companies should deliver a materially stronger second half, marking 2026 as the transition from operating losses towards sustainable underlying profitability. Importantly, the recovery is not simply a function of higher AMPC. For both companies, operating margins excluding AMPC turn positive in 2H26 and move into the low-single-digit range. This changes the earnings debate: the key question is increasingly how far underlying margins can recover rather than when the companies will return to operating profitability.

EXHIBIT 2: **We keep our rating but rising our TP**

Company	Ticker	Currency	Rating	Price	Target price		Potential
				23-Oct-26	Old	New	Upside
LGES	373220 KS	KRW	M	383,000	352,000	403,000	5%
SDI	006400 KS	KRW	M	490,500	520,000	560,000	14%
LG Chem	051910 KS	KRW	M	229,000	312,000	326,000	42%

Source: Bloomberg, Bernstein analysis and estimates

We raise our 2026/27 revenue forecasts for LGES to KRW33.0tn/43.2tn and for SDI to KRW16.5tn/23.6tn. Our revised EPS forecasts are KRW-1,958/8,177 for LGES and KRW10,279/18,889 for SDI. While LGES's forecast loss narrows in 2026, our 2027 EPS estimate falls by 20%; SDI's 2026 EPS increases materially, with a more modest 1.7% increase in 2027. Our 2027 EPS estimates remain above consensus for both companies. The revisions therefore reflect a stronger revenue outlook and improving near-term operations, rather than a uniform upgrade across all earnings measures and periods.

EXHIBIT 3: **Revenue: Bernstein estimate change**

Revenue Report Currency	2024A	2025A	2026E	2027E
LG Energy Solution	25.6	23.7	33.0	43.2
Old (KRW tn)			30.8	41.4
% Change			7.4%	4.3%
LG Chem	48.7	45.9	55.0	66.5
Old (KRW tn)			52.8	64.7
% Change			4.3%	2.7%
Samsung SDI	16.6	13.3	16.5	23.6
Old (KRW tn)			16.1	22.0
% Change			2.4%	7.3%

Source: Company data, Bernstein analysis and estimates

EXHIBIT 4: **EPS: Bernstein estimate change**

EPS Report Currency	2024A	2025A	2026E	2027E
LG Energy Solution	(4,354)	(4,581)	(1,958)	8,177
Old (KRW)			(2,364)	10,225
% Change			nm	(20.0%)
LG Chem	(8,826)	(13,259)	2,181	21,124
Old (KRW)			2,693	28,743
% Change			(19.0%)	(26.5%)
Samsung SDI	8,917	(9,152)	10,279	18,889
Old (KRW)			1,752	18,577
% Change			486.8%	1.7%

Source: Company data, Bernstein analysis and estimates

EXHIBIT 5: **Revenue: Bernstein vs consensus**

Revenue Report Currency	2024A	2025A	2026E	2027E
LG Energy Solution	25.6	23.7	33.0	43.2
Consensus (KRW tn)			32.0	40.2
			3.2%	7.4%
LG Chem	48.7	45.9	55.0	64.7
Consensus (KRW tn)			55.6	63.1
			(0.9%)	2.5%
Samsung SDI	16.6	13.3	16.5	22.0
Consensus (KRW tn)			16.1	20.0
			2.5%	10.3%

Source: Bloomberg, Company data, Bernstein analysis and estimates

EXHIBIT 6: **EPS: Bernstein estimates vs consensus**

EPS Report Currency	2024A	2025A	2026E	2027E
LG Energy Solution	(4,354)	(4,581)	(1,958)	8,177
Consensus (KRW)			(1,252)	6,872
			nm	19.0%
LG Chem	(8,826)	(13,259)	2,181	21,124
Consensus (KRW)			(1,741)	21,463
			nm	(1.6%)
Samsung SDI	8,917	(9,934)	10,279	18,889
Consensus (KRW)			7,987	17,642
			28.7%	7.1%

Source: Bloomberg, Company data, Bernstein analysis and estimates

SAMSUNG SDI: OPERATING RECOVERY SHOULD CONTINUE IN 3Q

We forecast SDI's 3Q26 revenue excluding AMPC of KRW4,230bn, up 39% y-o-y and 12% q-o-q, compared with consensus of KRW4,065bn. Operating profit excluding AMPC is expected to reach KRW170bn, versus KRW96bn in 2Q26 and a KRW611bn loss in 3Q25. This implies an operating margin of 4.0%, above consensus of 1.3%. We expect gross margin excluding AMPC of 23.5%, modestly below approximately 25% in 2Q26, while AMPC increases to KRW139bn. Net profit attributable to the parent excluding AMPC is forecast at KRW68bn, compared with consensus of KRW63bn. The principal highlight should be continued improvement in underlying operating profitability, even without further sequential gross-margin expansion.

EXHIBIT 7: **We expect SDI's 3Q revenue to grow by 39% y-o-y to KRW 4,230bn, while the earnings to grow by 138% yo-y to KRW68bn**

		3Q26 BernE	3Q26 Consensus	3Q25	*YoY*	2Q26	*QoQ*
Revenue (Excl. AMPC)	bn KRW	4,230	4,065	3,052	*39%*	3,769	*12%*
Gross profit (Excl. AMPC)	bn KRW	992	986	168	*490%*	937	*6%*
GPM (Excl. AMPC)	%	23%	24%	6%	*18%*	25%	*-1%*
Operating profit (Excl. AMPC)	bn KRW	170	54	-611	*n/a*	96	*76%*
OPM (Excl. AMPC)	%	4%	1%	-20%	*24%*	3%	*1%*
AMPC	bn KRW	139	128	20	*612%*	108	*29%*
Net income (Excl. AMPC)	bn KRW	68	63	29	*138%*	234	*-71%*

Source: Company data, Bernstein analysis and estimates

EXHIBIT 8: **SDI 3Q26 outlook**

					Consensus	
Financial Summary		3Q26E	3Q25	%YoY	3Q26	variance
Revenue (Excl. AMPC)	**KRW bn**	**4,230**	**3,052**	**39%**	**4,065**	**4%**
COGS	**KRW bn**	**3,237**	**2,884**	**12%**	**3,079**	**5%**
Gross profit (Excl. AMPC)	**KRW bn**	**992**	**168**	**490%**	**986**	**1%**
GPM% (Excl. AMPC)	**%**	**23.5%**	**5.5%**	**17.9%**	**24.3%**	**-0.8%**
Operating profit (Excl. AMPC)	**KRW bn**	**170**	**-611**	**n/a**	**54**	**211%**
OPM% (Excl. AMPC)	**%**	**4.0%**	**-20.0%**	**24.0%**	**1.3%**	**2.7%**
AMPC	**KRW bn**	**139**	**20**	**613%**	**128**	**9%**
Net profit to the parent (Excl. AMPC)	**KRW bn**	**68**	**29**	**138%**	**63**	**8%**

Source: Company data, Bernstein analysis and estimates

We expect further improvement in 4Q26, with SDI's revenue excluding AMPC reaching KRW4,890bn and operating profit excluding AMPC increasing to KRW236bn. Gross margin is forecast to improve to 24.3%, while operating margin expands to 4.8%. For the full year, we forecast revenue excluding AMPC of KRW16,464bn and operating profit excluding AMPC of KRW266bn, compared with a KRW139bn operating loss in the first half. Our updated annual table incorporates AMPC of KRW520bn. The expected second-half improvement should restore positive full-year operating earnings before credits, supporting our view of 2026 as a turning point rather than simply a year of higher subsidy income.

EXHIBIT 9: **SDI 2H26 outlook**

Financial Summary		1H26	3Q26E	4Q26E	%YoY	FY26E	%YoY
Revenue (Excl. AMPC)	KRW bn	7,345	4,230	4,890	27%	16,464	24%
COGS	KRW bn	5,823	3,237	3,703	21%	12,763	8%
Gross profit (Excl. AMPC)	KRW bn	1,522	992	1,187	47%	3,701	153%
GPM% (Excl. AMPC)	%	20.7%	23.5%	24.3%	3.3%	22.5%	11.5%
Operating profit (Excl. AMPC)	KRW bn	-139	170	236	n/a	266	n/a
OPM% (Excl. AMPC)	%	-1.9%	4.0%	4.8%	14.6%	1.6%	16.8%
AMPC	KRW bn	188	139	197	146%	520	89%
Net profit to the parent (Excl. AMPC)	KRW bn	126	68	78	n/a	274	n/a

Source: Company data, Bernstein analysis and estimates

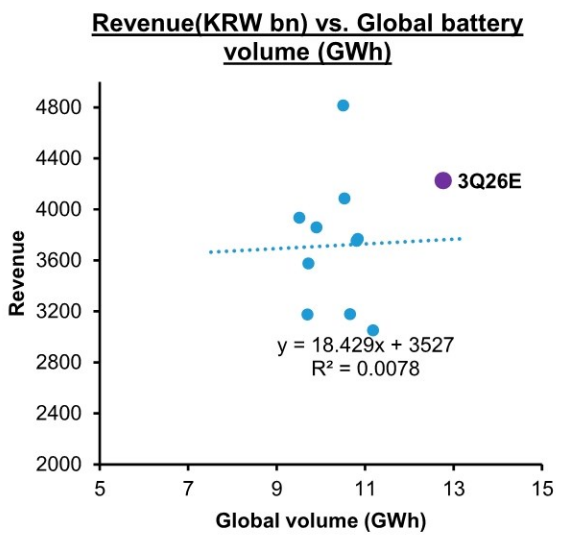
EXHIBIT 10: **SDI 2026FY outlook**

				Consensus	
Financial Summary		2026E	2025A	2026E	variance
Revenue (Excl. AMPC)	KRW bn	16,464	13,267	16,004	3%
COGS	KRW bn	12,763	11,806	12,442	3%
Gross profit (Excl. AMPC)	KRW bn	3,701	1,461	3,563	4%
GPM% (Excl. AMPC)	%	22.5%	11.0%	22.3%	0.2%
Operating profit (Excl. AMPC)	KRW bn	266	-1,997	-134	n/a
OPM% (Excl. AMPC)	%	1.6%	-15.1%	-0.8%	2.5%
AMPC	KRW bn	520	275	521	0%
Net profit to the parent (Excl. AMPC)	KRW bn	274	-925	217	26%

Source: Company data, Bernstein analysis and estimates

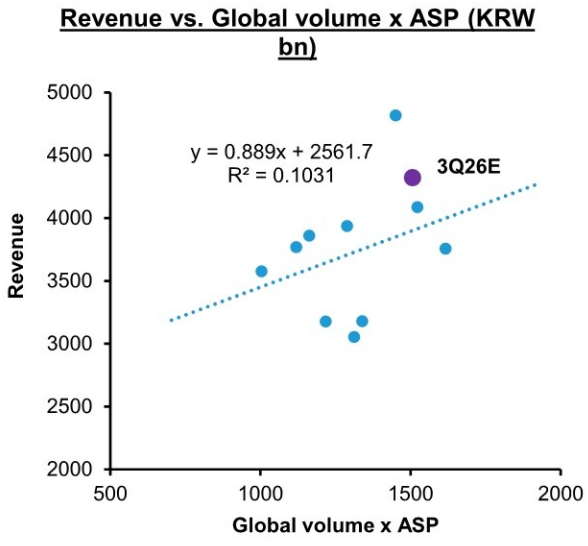
Based on our regression framework alongside our operating assumptions, we forecast SDI's 3Q26 global battery shipments of approximately 13GWh and utilization of 52%, compared with 11GWh and 49% in 2Q26. Utilization is expected to improve progressively from 46% in 1Q26, accompanying the recovery in operating profitability. Our forecasts incorporate revenue excluding AMPC of KRW4,230bn, gross margin of 23.5% and operating margin of 4.0%. The expected trajectory is one of higher shipment volumes and improving utilization supporting positive low-single-digit operating margins, while gross margin remains within the low-to-mid-20% range.

EXHIBIT 11: **SDI revenue vs. global battery shipments: We forecast 3Q26E revenue of KRW4,230bn**



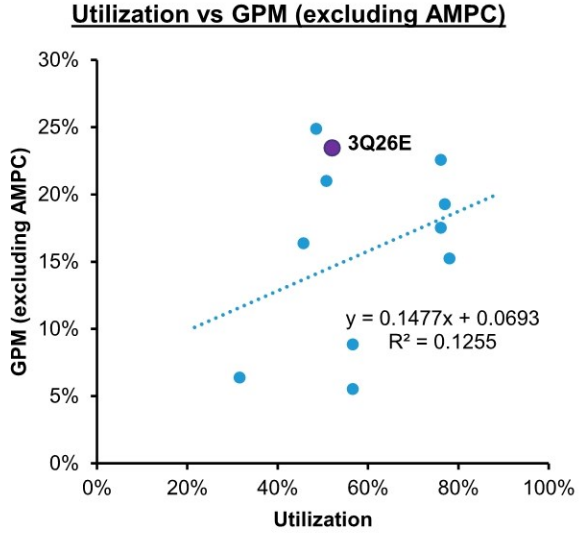
Source: SNE research, ICC data center, Company data, Bernstein analysis and estimates

EXHIBIT 12: **SDI revenue vs. global volume × ASP: We forecast 3Q26E revenue of KRW4,230bn**



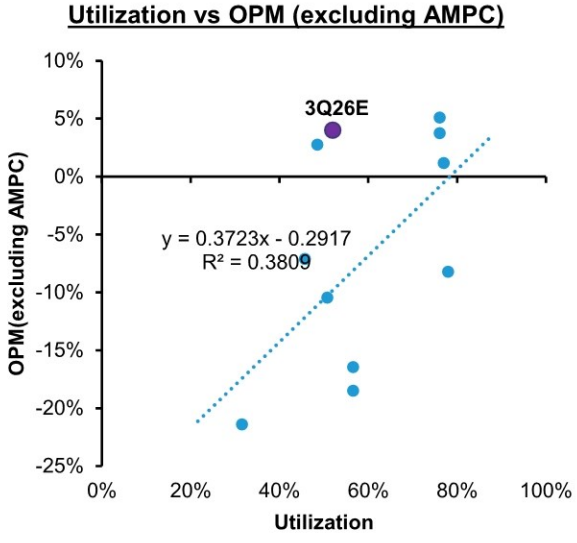
Source: SNE research, ICC data center, Baiinfo, Company data, Bernstein analysis and estimates

EXHIBIT 13: **Utilization vs. gross margin: We forecast 3Q26E utilization of 52% and GPM of 23% excluding AMPC**



Source: Company data, Bernstein analysis and estimates

EXHIBIT 14: **Utilization vs. operating margin: We forecast 3Q26E utilization of 52% and OPM of 4% excluding AMPC**



Source: Company data, Bernstein analysis and estimates

Our quarterly tracker incorporates SDI revenue per GWh of KRW331bn in 3Q26, compared with KRW348bn in 2Q26 and KRW273bn in 3Q25. Against a China battery price benchmark of KRW128bn/GWh, this implies a multiple of 2.6x, down from 2.8x in 2Q26 but still materially above the benchmark. We view SDI's greater US shipment exposure as important context for this premium, with estimated US shipments of approximately 8GWh against global shipments of 13GWh. AMPC is forecast to increase to KRW139bn, while the gap between gross and operating margins narrows to approximately 19 percentage points. The expected recovery therefore combines stronger total volumes with improved operating profitability.

EXHIBIT 15: **SDI quarterly operating data: Historical trends and 3Q26 estimates for revenue, utilization and profitability**

SDI	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E
Global shipment (GWh)	**11**	**11**	**10**	**11**	**10**	**11**	**11**	**10**	**10**	**11**	**13**
YoY(%)					-8%	1%	18%	-8%	0%	2%	14%
China battery price (bn KRW/ GWh)	138	138	126	126	126	126	117	117	124	124	128
YoY(%)					-9%	-9%	-7%	-7%	-1%	-1%	9%
Revenue (bn KRW)											
Estiamted revenue (excluding AMPC)	1,451	1,454	1,201	1,364	1,218	1,339	1,312	1,162	1,204	1,343	1,629
Act. revenue (excluding AMPC)	**4,816**	**4,086**	**3,936**	**3,755**	**3,177**	**3,179**	**3,052**	**3,859**	**3,576**	**3,769**	**4,230**
YoY(%)					-34%	-22%	-22%	3%	13%	19%	39%
Act. revenue/GWh (bn KRW)	458	388	414	347	328	298	273	390	368	348	331
Act price / China price multiple	3.3	2.8	3.3	2.8	2.6	2.4	2.3	3.3	3.0	2.8	2.6
AMPC (bnKRW)	47	10	9	14	109	66	20	80	81	108	139
US shipment(GWh)	5	6	6	9	6	7	8	5	5	6	8
AMPC/US shipment (bn KRW/GWh)	9	2	2	2	19	10	3	15	16	19	17
Utilization rate	**76%**	**76%**	**77%**	**78%**	**32%**	**57%**	**57%**	**51%**	**46%**	**49%**	**52%**
GPM (excluding AMPC)	**18%**	**23%**	**19%**	**15%**	**6%**	**9%**	**6%**	**21%**	**16%**	**25%**	**23%**
OPM (excluding AMPC)	**4%**	**5%**	**1%**	**-8%**	**-21%**	**-16%**	**-19%**	**-10%**	**-7%**	**3%**	**4%**
Δ(GPM-OPM)	**14%**	**17%**	**18%**	**23%**	**28%**	**25%**	**24%**	**31%**	**23%**	**22%**	**19%**

Source: SNE research, ICC data center, Baiinfo, Company data, Bernstein analysis and estimates

LGES: PRELIMINARY RESULTS DEMONSTRATE A RETURN TO OPERATING PROFITABILITY

LGES's preliminary 3Q26 revenue excluding AMPC reached KRW9,226bn, up 62% y-o-y and 26% q-o-q. Operating profit excluding AMPC returned to KRW339bn, compared with a KRW128bn loss in 2Q26, implying an operating margin of 3.7%. AMPC increased to KRW417bn from KRW241bn in the previous quarter. We estimate gross margin excluding AMPC of 16.9% and a net loss attributable to the parent excluding AMPC of KRW172bn. The preliminary release provides evidence of a return to operating profitability before credits.

EXHIBIT 16: **LGES's 3Q revenue(excl. AMPC) grow by 62% y-o-y to KRW 9,226bn, while operating profit(excl. AMPC) grow by 44% yo-y to KRW 339bn**

		3Q26	3Q25	*YoY*	2Q26	*QoQ*
Revenue (Excl. AMPC)	bn KRW	9,226	5,700	*62%*	7,319	*26%*
Gross profit (Excl. AMPC)	bn KRW	1,561	1,447	*8%*	1,304	*20%*
GPM (Excl. AMPC)	%	17%	25%	*-8%*	18%	*-1%*
Operating profit(Excl. AMPC)	bn KRW	339	236	*44%*	-128	*n/a*
OPM (Excl. AMPC)	%	4%	4%	*0%*	-2%	*5%*
AMPC	bn KRW	417	366	*14%*	241	*73%*
Net income (Excl. AMPC)	bn KRW	-172	-119	*n/a*	-619	*n/a*

Figures in blue for 3Q26E represent reported data
Source: Company data, Bernstein analysis and estimates

EXHIBIT 17: **LGES 3Q outlook**

Financial Summary		3Q26E	3Q25	%YoY	Consensus 3Q26	Consensus variance
Revenue (Excl. AMPC)	KRW bn	9,226	5,700	62%	9,226	0%
COGS	KRW bn	7,665	4,253	80%	7,775	-1%
Gross profit (Excl. AMPC)	KRW bn	1,561	1,447	8%	1,451	8%
GPM% (Excl. AMPC)	%	16.9%	25.4%	-8.5%	15.7%	1.2%
Operating profit (Excl. AMPC)	KRW bn	339	235	44%	339	0%
OPM% (Excl. AMPC)	%	3.7%	4.1%	-0.4%	3.7%	0.0%
AMPC	KRW bn	417	366	14%	417	0%
Net profit to the parent (Excl. AMPC)	KRW bn	-172	-119	n/a	-187	8%

Figures in blue for 3Q26E represent reported data
Source: Company data, Bernstein analysis and estimates

We forecast LGES's 4Q26 operating profit excluding AMPC increasing to KRW465bn, with operating margin expanding to 5.3% from 3.7% in 3Q. Revenue excluding AMPC is expected to reach KRW8,815bn, below the 3Q level, while gross margin improves to 18.0%. For 2026, we forecast revenue excluding AMPC of KRW31,726bn and operating profit excluding AMPC of KRW279bn, compared with a KRW525bn operating loss in the first half. The attributable net loss excluding AMPC is forecast to narrow further to KRW109bn in 4Q.

EXHIBIT 18: **LGES 2H outlook**

Financial Summary		1H26	3Q26E	4Q26E	%YoY	FY26E	%YoY
Revenue (Excl. AMPC)	KRW bn	13,684	9,226	8,815	44%	31,726	34%
COGS	KRW bn	11,329	7,665	7,233	35%	26,226	35%
Gross profit (Excl. AMPC)	KRW bn	2,355	1,561	1,583	105%	5,499	30%
GPM% (Excl. AMPC)	%	17.2%	16.9%	18.0%	5.4%	17.3%	-0.5%
Operating profit (Excl. AMPC)	KRW bn	-525	339	465	n/a	279	n/a
OPM% (Excl. AMPC)	%	-3.8%	3.7%	5.3%	12.7%	0.9%	2.2%
AMPC	KRW bn	431	417	459	38%	1,307	-21%
Net profit to the parent (Excl. AMPC)	KRW bn	-1,485	-172	-109	n/a	-1,765	n/a

Figures in blue for 3Q26E represent reported data
Source: Company data, Bernstein analysis and estimates

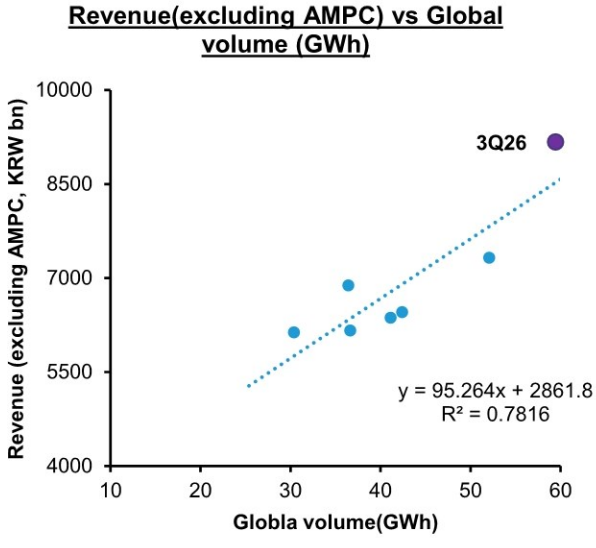
EXHIBIT 19: **LGES 2026FY outlook**

Financial Summary		2026E	2025A	Consensus 2026E	Consensus variance
Revenue (Excl. AMPC)	KRW bn	31,726	23,671	30,460	4%
COGS	KRW bn	26,226	19,440	25,299	4%
Gross profit (Excl. AMPC)	KRW bn	5,499	4,231	5,162	7%
GPM% (Excl. AMPC)	%	17.3%	17.9%	16.9%	0.4%
Operating profit (Excl. AMPC)	KRW bn	279	-302	-476	n/a
OPM% (Excl. AMPC)	%	0.9%	-1.3%	-1.6%	2.4%
AMPC	KRW bn	1,307	1,648	1,405	-7%
Net profit to the parent (Excl. AMPC)	KRW bn	-1,765	-1,401	-1,785	n/a

Figures in blue for 3Q26E represent reported data
Source: Company data, Bernstein analysis and estimates

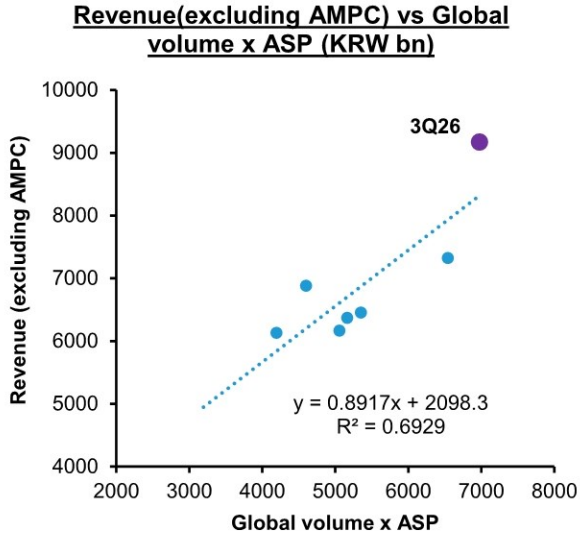
LGES's 3Q26 revenue excluding AMPC of KRW9,226bn is above the historical relationships with both battery shipments and shipments multiplied by battery prices. Our operating assumptions incorporate global shipments of approximately 59GWh, up from 52GWh in 2Q26, alongside utilization improving to 66% from 58% in 2Q26 and 47% in 1Q26. With higher volumes and utilization, LGES returned to positive underlying profitability, with operating margin excluding AMPC reaching 3.7% from -1.7% in 2Q26. We estimate gross margin excluding AMPC at 16.9%, compared with approximately 18% in 2Q26. Overall, the 3Q data suggest that stronger shipments and improving utilization are translating into a faster operating recovery, even before a meaningful recovery in gross margin.

EXHIBIT 20: **LGES revenue vs. global battery shipments, 3Q26 revenue above the historical trend**



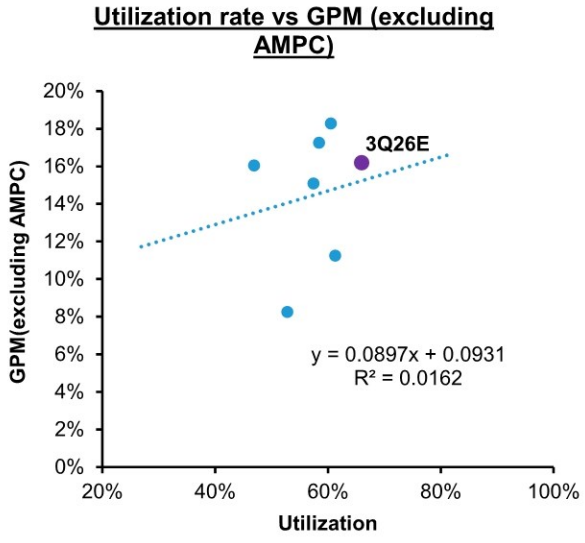
Regression excludes 2025 data for a better fit.
Source: SNE research, ICC data center, Baiinfo, Company data, Bernstein analysis and estimates

EXHIBIT 21: **LGES revenue vs. global volume × ASP: 3Q26 revenue above the historical trend**



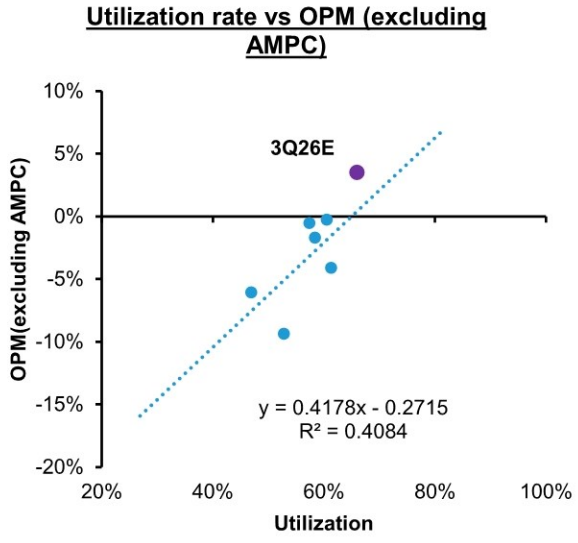
Regression excludes 2025 data for a better fit.
Source: SNE research, ICC data center, Baiinfo, Company data, Bernstein analysis and estimates

EXHIBIT 22: **Utilization vs. gross margin: We forecast 3Q26E utilization of 66% and GPM of 17% excluding AMPC**



Regression excludes 2025 data for a better fit.
Source: Company data, Bernstein analysis and estimates

EXHIBIT 23: **Utilization vs. operating margin: We forecast 3Q26E utilization of 66% with reported OPM of 4% excluding AMPC**



Regression excludes 2025 data for a better fit.
Source: Company data, Bernstein analysis and estimates

LGES's revenue per GWh increased to approximately KRW155bn in 3Q26, compared with KRW140bn in 2Q26 and KRW115bn in 3Q25. This implies a China battery price benchmark multiple of 1.2x, versus 1.1x in 2Q26, and remains within the historical 1.0–1.5x range shown in our tracker. We view LGES's more diversified geographic shipment mix as context for the smaller premium relative to SDI, with estimated US shipments of approximately 13GWh against global shipments of 59GWh. AMPC increased to KRW417bn, while the gap between gross and operating margins narrowed to approximately 14 percentage points. LGES's quarterly recovery therefore combines higher shipments, higher revenue per GWh and a narrower gap between gross and operating profitability.

EXHIBIT 24: **LGES quarterly operating data: Historical trends and 3Q26 estimates.**

LGES	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E
Global shipment (GWh)	**30**	**37**	**36**	**42**	**32**	**38**	**49**	**47**	**41**	**52**	**59**
YoY(%)					6%	5%	35%	11%	27%	36%	20%
China Price (bn KRW/ GWh)	138	138	126	126	126	126	117	117	124	124	128
YoY(%)					-9%	-9%	-7%	-7%	-1%	-1%	9%
Revenue(bn KRW)											
Estiamted revenue (excluding AMPC)	4,194	5,056	4,600	5,354	4,058	4,808	5,792	5,507	5,095	6,453	7,584
Act. revenue (excluding AMPC)	**6,129**	**6,162**	**6,878**	**6,451**	**6,265**	**5,565**	**5,700**	**6,141**	**6,365**	**7,319**	**9,226**
YoY (%)					2%	-10%	-17%	-5%	2%	32%	62%
Act. Revenue/GWh (bn KRW)	202	168	189	152	194	145	115	131	155	140	155
Act price / China price multiple	1.5	1.2	1.5	1.2	1.5	1.2	1.0	1.1	1.2	1.1	1.2
AMPC (bn KRW)	189	448	466	377	458	491	366	333	190	241	417
US shipment (GWh)	6	9	10	13	9	10	13	9	8	11	13
AMPC/US shipment(bn KRW/GWh)	29	49	47	29	50	49	28	36	23	21	32
Utilization rate	**57%**	**61%**	**61%**	**53%**	**51%**	**52%**	**50%**	**43%**	**47%**	**58%**	**66%**
GPM (excluding AMPC)	**15%**	**11%**	**18%**	**8%**	**16%**	**18%**	**25%**	**13%**	**16%**	**18%**	**17%**
OPM (excluding AMPC)	**-1%**	**-4%**	**0%**	**-9%**	**-1%**	**0%**	**4%**	**-7%**	**-6%**	**-2%**	**4%**
Δ(GPM-OPM)	**16%**	**15%**	**19%**	**18%**	**17%**	**18%**	**21%**	**20%**	**22%**	**20%**	**14%**

Figures in blue for 3Q26E represent reported data
Source: SNE research, ICC data center, Baiinfo, Company data, Bernstein analysis and estimates

US MARKET OUTLOOK

Our US market framework forecasts EV battery demand declining from 134GWh in 2025 to 109GWh in 2026, while ESS demand increases from 42GWh to 66GWh and data center demand rises from 7GWh to 27GWh. Total battery demand is forecast to increase from 182GWh to 202GWh, illustrating why EV weakness alone does not capture the broader demand picture. We expect storage and data centers to remain important growth contributors, with total demand reaching 486GWh by 2030. However, available capacity is forecast at 746GWh in 2030. The constructive demand argument is therefore a shift toward storage-led growth, not an industry-wide shortage of aggregate manufacturing capacity.

EXHIBIT 25: **US battey market outlook: Demand, supply and companies shipments**

US Market	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2025-30 CAGR
US Demand														
EV	20	20	22	43	71	109	130	134	109	134	153	179	220	10%
ESS	1	1	3	11	12	21	34	42	66	108	166	175	197	36%
Data center							4	7	27	48	56	66	69	59%
Total Demand	**21**	**21**	**25**	**54**	**83**	**131**	**169**	**182**	**202**	**289**	**375**	**421**	**486**	**22%**
Demand % YoY		*-1%*	*19%*	*118%*	*53%*	*57%*	*29%*	*8%*	*11%*	*43%*	*29%*	*12%*	*16%*	
ESS % of Demand	*4%*	*4%*	*13%*	*20%*	*15%*	*16%*	*20%*	*23%*	*33%*	*37%*	*44%*	*42%*	*40%*	
Data center % of Demand							*2%*	*4%*	*13%*	*17%*	*15%*	*16%*	*14%*	
US Shipment														
LGES	2	3	3	10	16	27	38	41	46	66	85	98	114	23%
SDI	1	1	1	2	8	17	26	26	30	43	56	64	75	20%
SK On	0	0	0	1	7	11	18	17	17	24	29	35	42	20%
Panasonic	17	16	16	27	32	41	34	44	48	63	81	94	112	21%
Others	3	1	4	15	20	35	53	55	60	94	123	130	143	21%
Total Shipment	**21**	**21**	**25**	**54**	**83**	**131**	**169**	**182**	**202**	**289**	**375**	**421**	**486**	**22%**
As% of US shipment														
LGES	10%	13%	14%	19%	19%	20%	23%	23%	23%	23%	23%	23%	23%	
SDI	3%	3%	2%	3%	10%	13%	15%	14%	15%	15%	15%	15%	15%	
SK On	1%	1%	2%	2%	9%	8%	10%	9%	9%	8%	8%	8%	9%	
Panasonic	79%	76%	66%	50%	38%	31%	20%	24%	24%	22%	22%	22%	23%	
Others	8%	7%	16%	27%	24%	27%	32%	30%	30%	32%	33%	31%	29%	
US capacity														
LGES	5	5	5	5	15	50	75	130	158	226	226	226	226	12%
SDI	0	0	0	0	0	0	0	15	15	64	64	93	93	44%
Tesla	0	0	0	10	10	10	28	28	38	83	128	128	128	36%
SK On	0	0	0	10	10	22	22	39	79	102	102	102	102	21%
Panasonic	23	31	31	31	38	38	40	57	74	75	76	77	78	6%
Others	3	3	3	3	3	3	3	25	50	110	110	110	120	37%
Total Available Capacity	**31**	**39**	**39**	**59**	**76**	**123**	**167**	**294**	**413**	**659**	**705**	**735**	**746**	**21%**
Demand % Capacity	***68%***	***54%***	***64%***	***92%***	***110%***	***107%***	***101%***	***62%***	***49%***	***44%***	***53%***	***57%***	***65%***	

LGES, SDI, covered by Neil, Panasonic covered by Kengo, others not covered
Source: BNEF, SNE research, ICC data center, Company data, Bernstein analysis and estimates

We forecast SDI's ESS shipments, including data centers, increasing from 12GWh in 2025 to 22GWh in 2026, more than offsetting the decline in EV shipments from 29GWh to 25GWh. Total shipments are forecast to reach 47GWh, while the tracker places US shipments at approximately 63% of the total. Looking into 2027, we expect total shipments to increase to 81GWh against effective capacity of 133GWh, supporting utilization of 61%, compared with 47% in 2026. We view SDI's concentrated US and storage exposure as positioning it more directly within our AI data center demand theme, although the table does not separately quantify AIDC shipments. ESS shipments are forecast to reach 130GWh by 2030, becoming the larger component of SDI's shipment mix.

EXHIBIT 26: **Overview of Samsung SDI's battery operation**

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-30 CAGR
EV	10	8	14	24	36	31	29	25	32	43	57	63	17%
%YoY		*-17%*	*73%*	*69%*	*46%*	*-14%*	*-6%*	*-13%*	*29%*	*31%*	*33%*	*11%*	
ESS(including data center)	4	4	8	9	9	10	12	22	48	73	101	130	61%
%YoY		*0%*	*100%*	*13%*	*0%*	*11%*	*20%*	*86%*	*117%*	*50%*	*39%*	*29%*	
Total battery shipments (GWh)	**14**	**12**	**22**	**33**	**45**	**41**	**41**	**47**	**81**	**115**	**157**	**193**	**36%**
%YoY		*-12%*	*82%*	*49%*	*34%*	*-9%*	*1%*	*16%*	*71%*	*42%*	*37%*	*23%*	
US shipment	**1**	**1**	**2**	**8**	**17**	**26**	**26**	**30**	**43**	**56**	**64**	**75**	**24%**
%YoY		*6%*	*162%*	*417%*	*108%*	*50%*	*-1%*	*17%*	*44%*	*30%*	*15%*	*18%*	
US % of Total shipment	*4%*	*5%*	*7%*	*25%*	*38%*	*64%*	*63%*	*63%*	*53%*	*48%*	*41%*	*39%*	
China	4	7	7	7	11	11	11	11	11	11	11	11	0%
US	0	0	0	0	0	0	15	15	64	64	93	93	44%
Europe	8	17	20	27	30	30	40	40	50	60	94	94	19%
Other	6	6	6	12	12	12	28	38	38	38	38	38	6%
Total battery capacity	18	30	33	45	53	53	94	104	163	173	236	236	20%
Effective capacity (GWh)	**18**	**24**	**31**	**39**	**52**	**53**	**90**	**100**	**133**	**168**	**204**	**236**	**21%**
%YoY		*34%*	*31%*	*25%*	*32%*	*2%*	*70%*	*11%*	*33%*	*26%*	*22%*	*15%*	
US % of Total capacity	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*16%*	*14%*	*39%*	*37%*	*39%*	*39%*	
Utilization	**78%**	**52%**	**71%**	**85%**	**87%**	**77%**	**45%**	**47%**	**61%**	**69%**	**77%**	**82%**	
OPM (excluding AMPC)	**0%**	**3%**	**5%**	**7%**	**7%**	**1%**	**-16%**	**1%**	**5%**	**6%**	**7%**	**7%**	
OPM (including AMPC)	**2%**	**3%**	**5%**	**7%**	**7%**	**2%**	**-12%**	**6%**	**11%**	**13%**	**14%**	**12%**	

Source: BNEF, SNE research, ICC data center, Company data, Bernstein analysis and estimates

We forecast LGES's ESS shipments, including data centers, increasing from 15GWh in 2025 to 42GWh in 2026, alongside EV shipments rising from 152GWh to 168GWh. Total shipments are forecast to reach 211GWh, increasing to 293GWh in 2027. Against effective capacity rising from 376GWh to 434GWh, our forecasts imply utilization improving from 56% to 67%. The US represents approximately 22% of forecast shipments in 2026, materially below SDI's relative exposure. LGES therefore participates in the storage recovery through a more diversified geographic and end-market shipment base, while SDI offers more concentrated exposure to the same theme.

EXHIBIT 27: **Overview of LGES's battery operation**

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-30 CAGR
EV	27	48	85	101	136	137	152	168	205	253	322	383	20%
%YoY		*80%*	*77%*	*19%*	*35%*	*1%*	*11%*	*11%*	*22%*	*23%*	*27%*	*19%*	
ESS(including data center)	3	6	8	9	8	8	15	42	88	127	163	190	66%
%YoY		*109%*	*38%*	*13%*	*-11%*	*0%*	*88%*	*180%*	*109%*	*45%*	*29%*	*17%*	
Total battery shipments (GWh)	**29**	**54**	**93**	**110**	**144**	**146**	**167**	**211**	**293**	**380**	**485**	**573**	**28%**
%YoY		*85%*	*72%*	*18%*	*31%*	*1%*	*15%*	*26%*	*39%*	*30%*	*28%*	*18%*	
US shipments (GWh)	**3**	**3**	**10**	**16**	**27**	**38**	**41**	**46**	**66**	**85**	**98**	**114**	**23%**
%YoY		*28%*	*196%*	*56%*	*69%*	*45%*	*7%*	*12%*	*42%*	*29%*	*15%*	*17%*	
US% of Total shipment	*9%*	*6%*	*11%*	*14%*	*18%*	*26%*	*25%*	*22%*	*22%*	*22%*	*20%*	*20%*	
China	27	27	27	47	77	77	77	82	82	82	112	112	8%
US	5	5	5	15	50	75	130	158	226	226	226	226	12%
Europe	40	70	70	70	80	80	80	80	80	120	120	120	8%
Other	6	6	14	21	21	56	81	81	81	81	144	181	18%
Total battery capacity	78	108	116	153	228	288	368	400	469	509	602	639	12%
Effective capacity(GWh)	**78**	**93**	**112**	**135**	**191**	**258**	**328**	**376**	**434**	**489**	**571**	**626**	**14%**
% YoY		*19%*	*20%*	*20%*	*42%*	*35%*	*27%*	*15%*	*16%*	*12%*	*17%*	*10%*	
US % of Total capacity	*6%*	*5%*	*4%*	*10%*	*22%*	*26%*	*35%*	*39%*	*48%*	*44%*	*38%*	*35%*	
Utilization	**38%**	**58%**	**83%**	**82%**	**76%**	**56%**	**51%**	**56%**	**67%**	**78%**	**85%**	**91%**	
OPM (excluding AMPC)	**-5%**	**-1%**	**4%**	**5%**	**4%**	**-4%**	**-1%**	**1%**	**6%**	**8%**	**8%**	**8%**	
OPM (including AMPC)	**-5%**	**-1%**	**4%**	**5%**	**6%**	**2%**	**6%**	**5%**	**16%**	**18%**	**20%**	**19%**	

Source: BNEF, SNE research, ICC data center, Company data, Bernstein analysis and estimates

COMPANIES VALUATION: SDI TRADES AT LOWER MULTIPLES, BUT BOTH STOCKS REMAIN FAIRLY VALUED

SDI trades at lower forward EV/EBITDA multiples than LGES on both our estimates and consensus. Our estimates imply 2026/27 multiples of 15.9x/10.7x for SDI, compared with 17.6x/12.9x for LGES; consensus-based 2027 multiples are 12.9x and 13.7x, respectively. SDI therefore combines more concentrated US and storage exposure with a lower forward multiple. Nevertheless, we distinguish this relative appeal from absolute undervaluation. Our higher target prices recognize the improving outlook, but we believe both stocks fairly reflect the recovery and retain Market-Perform ratings.

EXHIBIT 28: **Consensus EV/EBITDA and P/E ratio for key battery makers**

Consensus	Mkt cap	EV	EV/EBITDA						Rev CAGR
Company	USD mn	USD mn	2025A	2026E	2027E	2028E	2029E	2030E	25A-30E
CATL(A)	167,041	159,079	11.0	7.8	6.6	5.4	5.8	5.6	20%
CATL(H)	218,264	210,302	14.5	10.3	8.7	7.2	7.6	7.3	20%
LGES	67,554	86,859	25.7	20.4	13.7	10.6	10.0	8.7	24%
SDI	29,794	38,330	113.7	18.8	12.9	10.2	8.7	8.1	21%

	Price		P/E						EBITDA CAGR
Company	23-Oct	Curreny	2025A	2026E	2027E	2028E	2029E	2030E	25A-30E
CATL(A)	237.6	CNY	16.7	12.0	9.9	8.3	7.8	7.8	15%
CATL(H)	361.0	HKD	21.9	15.7	13.0	10.9	10.1	10.2	15%
LGES	383,000	KRW	-136.3	-236.1	56.8	28.6	17.7	13.3	24%
SDI	490,500	KRW	-82.5	53.3	27.8	18.3	12.0	10.9	70%

Source: Bloomberg, Company data, Bernstein analysis

EXHIBIT 29: **Our estimation of EV/EBITDA and P/E ratio for key battery makers**

Bernstein	Mkt cap	EV	EV/EBITDA						Rev CAGR
Company	USD mn	USD mn	2025A	2026E	2027E	2028E	2029E	2030E	25A-30E
CATL(A)	167,041	159,079	11.0	8.3	8.3	7.4	6.3	5.6	26%
CATL(H)	218,264	210,302	14.5	11.0	11.0	9.8	8.4	7.3	26%
LGES	67,554	86,859	25.7	17.6	12.9	10.3	8.8	7.9	30%
SDI	29,794	38,330	113.7	15.9	10.7	9.4	7.8	7.2	30%

	Price		P/E						EBITDA CAGR
Company	23-Oct	Curreny	2025A	2026E	2027E	2028E	2029E	2030E	25A-30E
CATL(A)	237.6	CNY	16.7	12.2	10.9	9.5	8.0	6.7	15%
CATL(H)	361.0	HKD	21.9	15.9	14.2	12.4	10.4	8.7	15%
LGES	383,000	KRW	-136.3	-195.5	46.8	24.8	19.0	14.3	24%
SDI	490,500	KRW	-82.5	47.6	27.1	16.5	10.7	9.8	79%

Source: Bloomberg, Company data, Bernstein analysis and estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 30: **Samsung SDI DCF valuation**

Samsung SDI - Discounted Cash Flow

KRW bn	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2030	2031-2050E	Terminal
Revenue	**20,124**	**22,708**	**16,592**	**13,267**	**16,464**	**23,643**	**31,488**	**41,422**	**50,430**			
Sales Growth	48.5%	12.8%	(26.9%)	(20.0%)	24.1%	43.6%	33.2%	31.5%	21.7%	30.6%	4.0%	3.0%
EBITDA	**3,272**	**3,365**	**2,262**	**432**	**2,934**	**3,877**	**4,757**	**5,961**	**6,751**			
EBIT (ex-AMPC)	**1,808**	**1,637**	**387**	**(1,673)**	**518**	**1,333**	**2,099**	**3,194**	**3,876**			
EBIT Margin	9.0%	7.2%	2.3%	(12.6%)	3.1%	5.6%	6.7%	7.7%	7.7%	5.3%	8.4%	
Tax	**613**	**420**	**7**	**(495)**	**80**	**333**	**525**	**798**	**969**			
% of EBIT	33.9%	25.7%	1.7%	29.6%	15.5%	25.0%	25.0%	25.0%	25.0%	23.7%	25.0%	
NOPAT	**1,195**	**1,217**	**381**	**(1,178)**	**438**	**1,000**	**1,575**	**2,395**	**2,907**			
D&A	**1,463**	**1,728**	**1,875**	**2,105**	**2,416**	**2,544**	**2,657**	**2,767**	**2,875**			
% of sales	7.3%	7.6%	11.3%	15.9%	14.7%	10.8%	8.4%	6.7%	5.7%	8.7%	8.2%	
Change in NWC:	**(1,013)**	**961**	**(2,466)**	**1,693**	**329**	**473**	**630**	**828**	**1,009**			
% of sales	(5.0%)	4.2%	(14.9%)	12.8%	2.0%	2.0%	2.0%	2.0%	2.0%	2.8%	0.0%	
(CapEx)	**(2,518)**	**(4,254)**	**(6,600)**	**(3,331)**	**(3,031)**	**(3,486)**	**(3,573)**	**(3,662)**	**(3,754)**			
% of sales	12.5%	18.7%	39.8%	25.1%	18.4%	14.7%	11.3%	8.8%	7.4%	11.8%	8.2%	
Unlevered FCF	**(872)**	**(348)**	**(6,810)**	**(711)**	**152**	**531**	**1,288**	**2,329**	**3,037**	**6,626**	**98,392**	**114,284**
AMPC	**-**	**-**	**80**	**275**	**556**	**1,406**	**2,108**	**2,829**	**2,273**			
Our TP implied EV/EBITDA	14.3x	13.9x	20.7x	108.4x	16.0x	12.1x	9.8x	7.9x	6.9x			

Valuation	
WACC	**9.3%**
Assumed Perpetual Growth	3.0%
Enterprise Value (EV)	**46,834**
- Debt	(11,589)
- Minority, Preferred and Others	(2,515)
+ Cash	1,645
+ Investment	5,846
+ IRA credit	3,804
Equity Value	**44,025**
#shares	79
DCF result (KRW)	**560,000**

WACC	
Risk Free Rate	2.5%
Levered Equity Beta	2.0
Market Risk Premium	5.7%
Cost of Equity	13.6%
After-tax Cost of Debt	3.1%
Debt / (Market Cap + Debt)	41.3%
NPV	
2025-2030	5,631
2031-2050	27,602
Terminal	13,601
Total	**46,834**

Growth 2025-2030	
Reinvestment Rate	7%
ROE	8%
Implied Growth Rate	1%
NOPAT CAGR	40%
2030 Capex/DD&A	1.3x
NPV (%)	
2025-2030	12%
2031-2050	59%
Terminal	29%
Total	**100%**

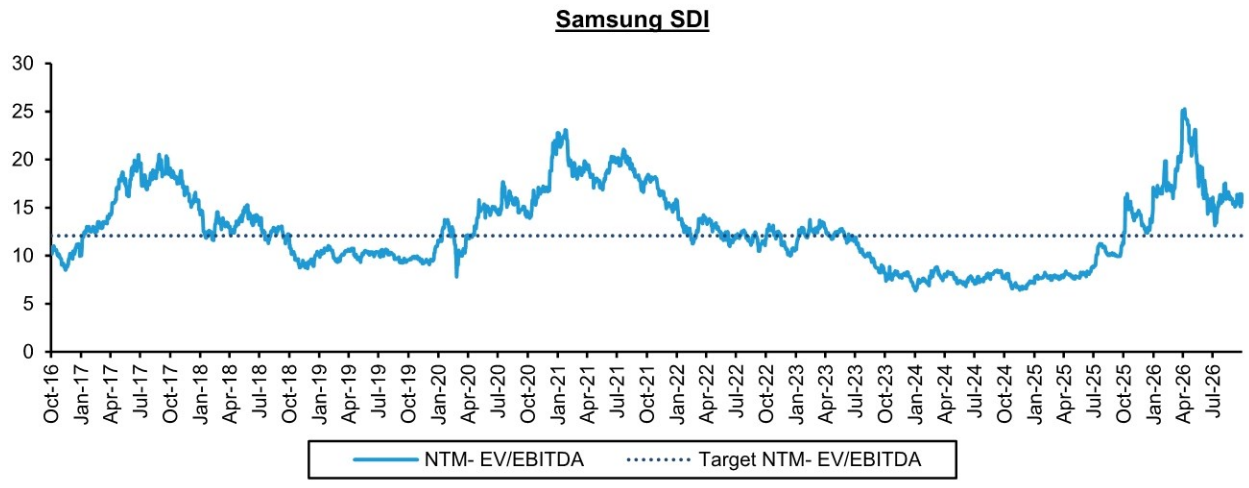
Source: Company data, Bernstein estimates and analysis

EXHIBIT 31: **We expect Samsung SDI will achieve a 4% CAGR over the period 2030-2050, while sustaining a market share of 3.4%**

Samsung SDI M/S (in GWh)		2023	2024	2025	2035	2040	2050
2030-50 cagr	3.0%	7.2%	5.3%	3.4%	2.7%	2.7%	2.8%
	4.0%	**7.2%**	**5.3%**	**3.4%**	**2.7%**	**3.0%**	**3.4%**
	5.0%	7.2%	5.3%	3.4%	2.7%	3.3%	4.1%
	6.0%	7.2%	5.3%	3.4%	2.7%	3.7%	5.0%
	7.0%	7.2%	5.3%	3.4%	2.7%	4.0%	6.0%

Source: Company data, SNE, Bernstein estimates (2026+) and analysis

EXHIBIT 32: **Our TP implies a NTM- EV/EBITDA of 13.1x for SDI**



Source: Bloomberg, Bernstein analysis

EXHIBIT 33: **LGES DCF valuation**

LGES - Discounted Cash Flow

KRW bn	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2025-2030	2031-2050E	Terminal
Revenue	**25,599**	**33,746**	**25,620**	**23,671**	**33,033**	**43,158**	**54,478**	**67,087**	**79,004**			
Sales Growth	43.4%	31.8%	(24.1%)	(7.6%)	39.5%	30.7%	26.2%	23.1%	17.8%	27.3%	7.0%	3.0%
EBITDA	**3,046**	**3,770**	**2,137**	**3,391**	**5,243**	**7,129**	**8,967**	**10,299**	**11,347**			
EBIT (ex-AMPC)	**1,214**	**1,486**	**(906)**	**(302)**	**279**	**2,582**	**4,365**	**5,646**	**6,649**			
EBIT Margin	4.7%	4.4%	(3.5%)	(1.3%)	0.8%	6.0%	8.0%	8.4%	8.4%	6.4%	9.0%	
Tax	**215**	**407**	**11**	**333**	**70**	**646**	**1,091**	**1,411**	**1,662**			
% of EBIT	17.7%	27.4%	(1.2%)	(110.3%)	25.0%	25.0%	25.0%	25.0%	25.0%	27.1%	25.0%	
NOPAT	**999**	**1,080**	**(917)**	**(635)**	**209**	**1,937**	**3,274**	**4,234**	**4,986**			
D&A	1,832	2,284	3,043	3,693	4,964	4,547	4,603	4,653	4,698			
% of sales	7.2%	6.8%	11.9%	15.6%	15.0%	10.5%	8.4%	6.9%	5.9%	9.0%	8.0%	
Change in NWC:	**(7,949)**	**1,364**	**1,811**	**402**	**661**	**863**	**1,090**	**1,342**	**1,580**			
% of sales	(31.1%)	4.0%	7.1%	1.7%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	0.0%	
(CapEx)	**(6,291)**	**(10,890)**	**(12,548)**	**(10,417)**	**(4,639)**	**(5,148)**	**(5,146)**	**(5,612)**	**(6,091)**			
% of sales	24.6%	32.3%	49.0%	44.0%	14.0%	11.9%	9.4%	8.4%	7.7%	12.3%	8.0%	
Unlevered FCF	**(11,409)**	**(6,162)**	**(8,611)**	**(6,957)**	**1,195**	**2,199**	**3,820**	**4,617**	**5,174**	**10,047**	**233,922**	**320,310**
AMPC	**-**	***646***	***1,566***	***1,648***	***1,307***	***1,818***	***2,241***	***2,717***	***3,210***			
Our TP implied EV/EBITDA	34.9x	28.2x	49.8x	31.4x	20.3x	14.9x	11.9x	10.3x	9.4x			

Valuation	
WACC	**9.6%**
Assumed Perpetual Growth	3.0%
Enterprise Value (EV)	**106,415**
- Debt	(29,123)
- Minority, Preferred and Others	(10,207)
+ Cash	9,553
+ IRA credit	17,671
Equity Value	**94,310**
#shares	234
DCF result (KRW)	**403,000**

WACC	
Risk Free Rate	2.5%
Levered Equity Beta	1.5
Market Risk Premium	5.7%
Cost of Equity	10.8%
After-tax Cost of Debt	3.3%
Debt / (Market Cap + Debt)	15.2%
NPV	
2025-2030	13,463
2031-2050	57,739
Terminal	35,214
Total	**106,415**

Growth 2025-2030	
Reinvestment Rate	28%
ROE	8%
Implied Growth Rate	2%
NOPAT CAGR	n.a.
2030 Capex/DD&A	1.3x
NPV (%)	
2025-2030	13%
2031-2050	54%
Terminal	33%
Total	**100%**

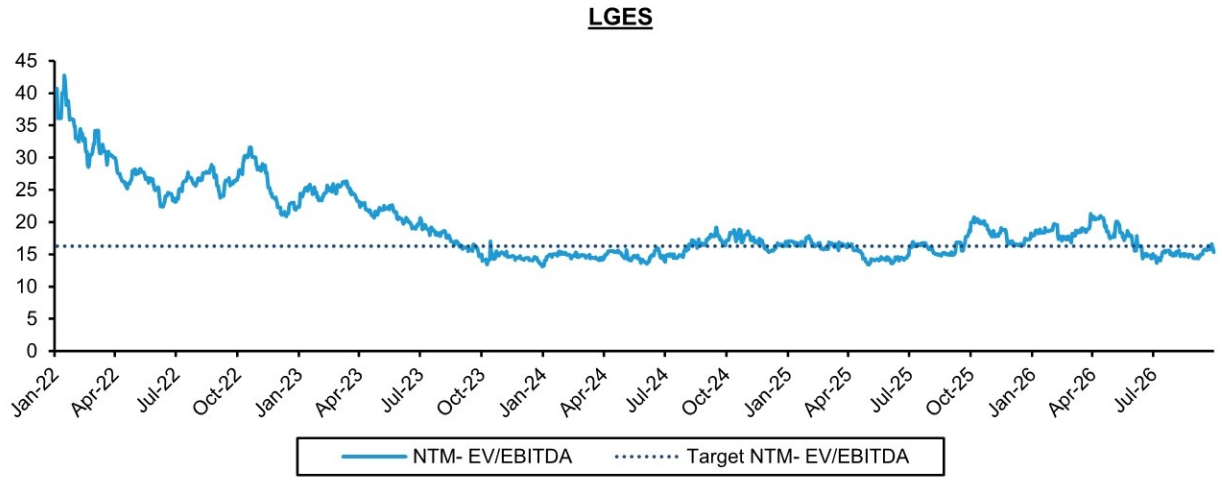
Source: Company data, Bernstein estimates and analysis

EXHIBIT 34: **We expect LGES will achieve a 7% CAGR over the period 2030-2050, and its market share will increase from current 10% to 13% by 2050**

LGES M/S (in GWh)		2023	2024	2025	2035	2040	2050
2030-50 cagr	1.0%	16.2%	12.1%	9.6%	6.0%	5.1%	4.2%
	3.0%	16.2%	12.1%	9.6%	6.0%	6.2%	6.3%
	5.0%	16.2%	12.1%	9.6%	6.0%	7.5%	9.2%
	7.0%	**16.2%**	**12.1%**	**9.6%**	**6.0%**	**9.0%**	**13.3%**
	9.0%	16.2%	12.1%	9.6%	6.0%	10.8%	19.5%

Source: Company data, SNE, Bernstein estimates (2026+) and analysis

EXHIBIT 35: **Our TP implies a NTM- EV/EBITDA of 16.3x for LGES**



Source: Bloomberg, Bernstein analysis

EXHIBIT 36: **LG Chem SOTP model**

LG Chem SOTP Segment	Avg '25-28 NP KRW bn	Multiple	Valuation Method	USD bn	KRW bn	KRW/share
Petrochemicals	276	10.0	P/E ('25-28)	1.9	2,762	35,000
Advanced materials	234	2.0	EV/S (2025)	5.7	8,175	104,000
Life sciences	75	50.0	P/E ('25-28)	2.6	3,734	48,000
Energy solutions	1,421		**DCF**	**65.4**	**93,065**	**1,189,000**
Cash and cash eqv.				7.7	10,903	139,000
Debt				-23.8	-33,812	-432,000
Less: Net Debt (Cash)				16.1	22,909	293,000
Total Value				**59.7**	**84,826**	**1,084,000**
Conglomerate Discount (70%)						**326,000**

Source: Company data, Bernstein estimates and analysis

EXHIBIT 37: **LGES financial exhibit**

Income Statement (KRW bn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	**12,570**	**17,852**	**25,599**	**33,746**	**25,620**	**23,671**	**33,033**	**43,158**	**54,478**
COGS	(10,568)	(13,953)	(21,308)	(28,802)	(22,214)	(19,440)	(26,226)	(33,239)	(40,852)
Gross Profit	**2,002**	**3,899**	**4,291**	**4,944**	**3,406**	**4,231**	**6,806**	**9,919**	**13,626**
SG&A	(2,292)	(3,130)	(3,077)	(3,456)	(4,311)	(4,533)	(5,221)	(5,519)	(7,020)
Operating Profit	**(290)**	**768**	**1,214**	**2,163**	**574**	**1,346**	**1,586**	**4,400**	**6,606**
Finance income/(expense)	133	340	(133)	341	629	1,103	1,622	1,559	1,402
Investment Income	(1)	(12)	(37)	(35)	(34)	(34)	(34)	(34)	(34)
Other non-operating income/(expense)	648	465	(48)	(425)	(820)	(2,000)	(2,034)	(1,326)	(1,193)
Income Before Taxes	**(701)**	**777**	**996**	**2,044**	**349**	**415**	**1,140**	**4,600**	**6,781**
Income Tax Expense (Income)	(124)	77	215	407	11	333	711	920	1,356
Profit (loss) from discontinued operations	127	229	-	-	-	-	-	-	-
Net Income	**(449)**	**930**	**781**	**1,638**	**338**	**82**	**429**	**3,680**	**5,425**
Minority Interest/Preferred	-	185	(5)	401	1,357	1,154	887	1,766	1,818
Net Income to Common	**(449)**	**745**	**786**	**1,237**	**(1,019)**	**(1,072)**	**(458)**	**1,913**	**3,607**
EBITDA	776	2,220	3,046	4,447	3,617	5,039	6,550	8,947	11,208
EPS (KRW)	(2,247)	3,963	3,306	5,287	(4,354)	(4,581)	(1,958)	8,177	15,416
BPS (KRW)	37,827	57,045	86,751	104,162	132,338	125,308	136,705	152,430	175,614

Balance Sheet (KRW bn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & Cash Equivalents	1,493	1,283	5,938	5,069	3,899	3,779	9,553	10,868	13,662
Accounts Receivables	2,931	2,914	4,772	5,129	4,944	4,311	7,057	9,220	11,638
Inventories	3,043	3,896	6,996	5,396	4,552	4,350	5,503	7,006	8,680
Other Current Assets	1,618	1,443	1,443	1,443	1,443	1,443	1,443	1,443	1,443
Current Assets	**9,086**	**9,536**	**19,149**	**17,037**	**14,838**	**13,883**	**23,556**	**28,536**	**35,422**
Property, plant & equipment	8,684	11,051	15,331	23,655	38,350	40,795	45,248	45,826	46,348
Intangible Assets/Goodwill	326	455	613	946	1,534	1,632	1,810	1,833	1,854
Investments	48	226	226	226	226	226	226	226	226
Other Non-current Assets	1,798	2,497	2,981	3,574	5,360	10,613	8,860	8,860	8,860
Non-Current Assets	**10,856**	**14,228**	**19,150**	**28,400**	**45,469**	**53,265**	**56,143**	**56,744**	**57,287**
Total Assets	**19,942**	**23,764**	**38,299**	**45,437**	**60,307**	**67,148**	**79,699**	**85,280**	**92,710**
Accounts Payable	2,592	2,178	3,842	3,094	2,706	2,153	3,302	4,203	5,208
Short-Term Borrowings	1,123	2,203	2,773	4,185	6,414	9,975	13,280	13,280	13,280
Other Short-Term Liabilities	3,174	5,093	5,093	5,093	5,093	5,093	5,093	5,093	5,093
Current Liabilities	**6,889**	**9,474**	**11,708**	**12,372**	**14,213**	**17,221**	**21,675**	**22,577**	**23,581**
Long-Term Borrowings	5,078	4,766	5,336	6,747	8,977	12,537	15,843	15,843	15,843
Other Long-Term Liabilities	409	782	662	1,944	6,150	8,068	9,692	9,692	9,692
Long-term Liabilities	**5,487**	**5,548**	**5,998**	**8,691**	**15,127**	**20,605**	**25,535**	**25,535**	**25,535**
Total Liabilities	**12,376**	**15,022**	**17,706**	**21,063**	**29,340**	**37,826**	**47,210**	**48,111**	**49,116**
Shareholders' Equity	**7,565**	**8,742**	**20,593**	**24,374**	**30,967**	**29,322**	**31,989**	**35,669**	**41,094**
Total Liabilities and Equity	**19,942**	**23,764**	**38,299**	**45,437**	**60,307**	**67,148**	**79,199**	**83,780**	**90,210**
Net Debt (Cash)	*4,708*	*5,686*	*2,171*	*5,863*	*11,492*	*18,733*	*19,570*	*18,255*	*15,461*

Cash Flow Statement (KRW bn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	(449)	930	781	2,092	338	82	429	3,680	5,425
Depreciation & Amortization	1,066	1,452	1,832	2,284	3,043	3,693	4,964	4,547	4,603
Changes in Net Working Capital	1,493	215	-	-	-	-	(521)	(2,764)	(3,088)
Other	(1,407)	(1,618)	(3,193)	68	1,730	657	(830)	1,000	1,000
Cash Flow From Operations	**703**	**979**	**(580)**	**4,444**	**5,111**	**4,432**	**4,042**	**6,463**	**7,940**
Capex	(2,700)	(4,000)	(6,291)	(10,890)	(12,548)	(10,417)	(4,639)	(5,148)	(5,146)
Other	(947)	1,822	29	1,170	482	(465)	3,457	-	-
Cash Flow From Investing	**(3,647)**	**(2,178)**	**(6,262)**	**(9,720)**	**(12,066)**	**(10,882)**	**(1,182)**	**(5,148)**	**(5,146)**
Borrow/Repay	n.a.	556	810	2,823	3,590	7,122	6,611	-	-
Other	n.a.	327	10,604	1,532	1,792	(837)	(3,954)	-	-
Cash Flow From Financing	**3,164**	**883**	**11,414**	**4,355**	**5,382**	**6,285**	**2,657**	**-**	**-**
Net Cash Flow	**n.a.**	**(317)**	**4,572**	**(912)**	**(1,573)**	**(165)**	**5,517**	**1,315**	**2,794**
Cash at Beginning of Period	n.a.	7,470	7,259	11,914	11,045	9,875	9,755	15,530	16,844
FX effect	n.a.	106	83	43	403	45	257	-	-
Cash at End of Period	**1,493**	**7,259**	**11,914**	**11,045**	**9,875**	**9,755**	**15,530**	**16,844**	**19,638**
Free Cash Flow	**(1,997)**	**(3,021)**	**(6,871)**	**(6,446)**	**(7,437)**	**(5,985)**	**(597)**	**1,315**	**2,794**

Source: Company data, Bernstein estimates and analysis

EXHIBIT 38: **Samsung SDI financial exhibit**

Income Statement	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	**11,295**	**13,553**	**20,124**	**22,708**	**16,592**	**13,267**	**16,464**	**23,643**	**31,488**
COGS	8,914	10,476	15,903	18,726	13,498	11,806	12,763	17,417	22,873
Gross Profit	**2,381**	**3,078**	**4,221**	**3,982**	**3,094**	**1,461**	**3,701**	**6,226**	**8,615**
SG&A	1,709	2,010	2,413	2,349	2,731	3,183	2,915	4,005	5,252
Operating Profit	**671**	**1,068**	**1,808**	**1,633**	**363**	**(1,722)**	**786**	**2,221**	**3,364**
Finance income/(expense)	(63)	(63)	(63)	(63)	(63)	(63)	(67)	(149)	91
Investment Income	293	596	844	853	169	359	500	228	233
Other non-operating income/(expense)	(98)	63	63	63	58	62	64	64	64
Income Before Taxes	**804**	**1,663**	**2,652**	**2,486**	**527**	**(1,364)**	**1,282**	**2,364**	**3,751**
Income Tax Expense (Income)	173	413	613	420	7	(495)	73	461	732
Discontinued operations	-	-	-	-	55	284	-	-	-
Net Income	**631**	**1,250**	**2,039**	**2,066**	**576**	**(585)**	**1,209**	**1,903**	**3,020**
Minority Interest/Preferred	144	82	89	90	(24)	65	380	444	632
Net Income to Common	**487**	**1,168**	**1,951**	**1,976**	**599**	**(650)**	**829**	**1,459**	**2,388**
EBITDA	**1,755**	**2,320**	**3,271**	**3,361**	**2,238**	**383**	**3,202**	**4,765**	**6,021**
EPS ex-Equity Income (KRW)	3,819	10,986	19,900	19,360	6,727	(12,309)	7,487	16,517	28,479
EPS - Total (KRW)	7,439	17,855	29,810	30,206	8,917	(9,152)	10,279	18,889	30,907
BPS (KRW)	194,064	219,885	246,524	276,815	295,583	272,485	317,939	336,484	366,826
Diluted WASO	65.4	65.4	65.4	65.4	65.4	77.3	77.3	77.3	77.3

Balance Sheet	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & Cash Equivalents	1,669	2,433	3,097	2,075	1,885	1,804	1,616	1,500	3,292
Accounts Receivables	2,178	2,525	3,350	3,815	5,570	3,079	4,098	4,682	5,546
Inventories	1,811	2,487	3,205	3,297	2,879	2,936	3,812	4,271	3,756
Other Current Assets	-	-	-	-	-	921	-	-	-
Current Assets	**5,657**	**7,445**	**9,652**	**9,187**	**10,334**	**8,740**	**9,525**	**10,454**	**12,594**
Investments	8,576	9,543	10,145	11,304	10,187	11,427	14,218	14,445	14,678
Property, plant & equipment	6,031	7,544	8,890	11,862	17,484	18,935	20,653	21,595	22,510
Intangible Assets/Goodwill	890	890	890	890	890	890	890	890	890
Other Non-current Assets	379	411	681	796	1,702	2,263	2,974	2,974	2,974
Non-Current Assets	**15,877**	**18,388**	**20,606**	**24,852**	**30,263**	**33,515**	**38,734**	**39,904**	**41,053**
Total Assets	**21,534**	**25,833**	**30,258**	**34,039**	**40,597**	**42,255**	**48,260**	**50,358**	**53,647**
Accounts Payable	869	1,272	2,192	2,119	906	1,071	1,301	1,550	2,023
Short-Term Borrowings	2,451	2,527	2,879	2,894	6,550	5,391	5,882	5,855	5,753
Other Short-Term Liabilities	1,663	2,662	2,936	3,506	3,400	3,334	5,456	5,456	5,456
Current Liabilities	**4,984**	**6,461**	**8,007**	**8,519**	**10,856**	**9,795**	**12,639**	**12,861**	**13,232**
Long-Term Borrowings	1,508	2,129	2,341	2,905	5,190	5,493	5,707	5,680	5,578
Other Long-Term Liabilities	1,684	2,046	2,692	2,708	2,985	3,397	2,396	2,396	2,396
Long-term Liabilities	**3,192**	**4,175**	**5,033**	**5,613**	**8,174**	**8,890**	**8,104**	**8,077**	**7,975**
Total Liabilities	**8,175**	**10,637**	**13,040**	**14,132**	**19,030**	**18,685**	**20,743**	**20,938**	**21,207**
Shareholders' Equity	**13,359**	**15,197**	**17,218**	**19,907**	**21,567**	**23,570**	**27,517**	**29,420**	**32,440**
Total Liabilities and Equity	**21,534**	**25,833**	**30,258**	**34,039**	**40,597**	**42,255**	**48,260**	**50,358**	**53,647**

Cash Flow Statement	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	631	1,250	2,039	2,066	576	(585)	1,209	1,903	3,020
Depreciation & Amortization	1,084	1,252	1,463	1,728	1,875	2,105	2,416	2,544	2,657
Investment Income	(293)	(596)	(844)	(853)	(169)	(359)	(500)	(228)	(233)
Changes in Net Working Capital	205	(620)	(623)	(631)	(2,550)	2,600	(889)	(795)	125
Other	322	889	605	(207)	131	(2,969)	129	-	-
Cash Flow From Operations	**1,949**	**2,176**	**2,641**	**2,104**	**(138)**	**792**	**2,366**	**3,424**	**5,569**
Capex	(1,572)	(2,180)	(2,518)	(4,254)	(6,600)	(3,331)	(3,031)	(3,486)	(3,573)
Other	(207)	231	(428)	149	1,680	1,332	(337)	-	-
Cash Flow From Investing	**(1,778)**	**(1,950)**	**(2,946)**	**(4,105)**	**(4,920)**	**(1,999)**	**(3,369)**	**(3,486)**	**(3,573)**
Cash Flow From Financing	**241**	**583**	**629**	**903**	**5,544**	**865**	**1,035**	**(55)**	**(203)**
Cash at Beginning of Period	1,148	1,559	2,368	2,692	1,593	2,080	1,739	1,659	1,543
Net Cash Flow	**411**	**809**	**324**	**(1,099)**	**487**	**(341)**	**(79)**	**(116)**	**1,792**
Adjustments	110	65	406	482	(195)	65	(43)	(43)	(43)
Cash at End of Period	1,669	2,433	3,097	2,075	1,885	1,804	1,616	1,500	3,292
Free cash flow	**377**	**(4)**	**123**	**(2,151)**	**(6,738)**	**(2,539)**	**(666)**	**(61)**	**1,996**

Source: Company data, Bernstein estimates and analysis

EXHIBIT 39: **LG Chem financials outlook**

Income Statement (KRW bn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	**30,077**	**42,655**	**51,865**	**55,658**	**48,699**	**45,932**	**55,046**	**66,508**	**79,803**
COGS	(23,764)	(31,438)	(41,878)	(46,834)	(41,248)	(38,123)	(42,232)	(48,698)	(56,993)
Gross Profit	**6,312**	**11,219**	**9,987**	**8,824**	**7,451**	**7,809**	**12,814**	**17,810**	**22,810**
SG&A	(4,514)	(6,194)	(6,991)	(6,985)	(8,058)	(8,275)	(10,273)	(12,421)	(14,913)
Operating Profit	**1,798**	**5,025**	**2,996**	**2,514**	**875**	**1,182**	**2,541**	**5,388**	**7,897**
Finance income/(expense)	417	(271)	56	414	619	870	894	600	747
Investment Income	9	-	-	-	-	-	-	-	-
Other non-operating income/(expense)	1,155	137	(237)	(438)	(1,804)	(3,832)	(1,471)	(1,161)	(1,138)
Income Before Taxes	**944**	**4,891**	**2,815**	**2,490**	**(310)**	**(1,780)**	**1,964**	**4,828**	**7,506**
Income Tax Expense (Income)	368	937	619	436	(826)	(802)	1,103	1,207	1,876
Profit (loss) from discontinued operations	-	-	-	-	-	-	-	-	-
Net Income	**682**	**3,954**	**2,195**	**2,054**	**516**	**(978)**	**861**	**3,621**	**5,629**
Minority Interest/Preferred	221	609	350	716	1,207	(1)	690	1,969	2,235
Net Income to Common	**461**	**3,345**	**1,845**	**1,338**	**(691)**	**(977)**	**170**	**1,652**	**3,394**
EBITDA	4,110	7,870	6,350	6,471	5,547	6,535	9,033	12,183	14,696
EPS (KRW)	6,666	47,108	23,670	17,089	(8,826)	(13,259)	2,181	21,124	43,399
BPS (KRW)	271,643	326,861	480,759	522,936	613,173	639,199	645,415	691,396	763,381

Balance Sheet (KRW bn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & Cash Equivalents	3,274	3,825	8,512	9,142	8,068	10,903	21,765	29,853	40,050
Accounts Receivables	5,298	6,387	8,957	8,083	8,166	6,725	7,371	9,142	11,192
Inventories	5,350	8,284	12,493	9,375	8,847	8,177	6,878	8,279	9,944
Other Current Assets	2,397	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000
Current Assets	**16,320**	**19,496**	**30,962**	**27,600**	**26,081**	**26,805**	**37,014**	**48,275**	**62,186**
Property, plant & equipment	20,567	26,823	32,353	42,643	58,190	59,960	65,155	65,201	65,243
Intangible Assets/Goodwill	2,280	2,682	3,235	4,264	5,819	5,996	6,516	6,520	6,524
Investments	309	309	309	309	309	309	309	309	309
Other Non-current Assets	1,912	1,824	1,114	2,650	3,459	7,992	5,584	5,584	5,584
Non-Current Assets	**25,069**	**31,639**	**37,012**	**49,867**	**67,777**	**74,257**	**77,565**	**77,615**	**77,661**
Total Assets	**41,389**	**51,135**	**67,974**	**77,467**	**93,858**	**101,062**	**114,579**	**125,890**	**139,847**
Accounts Payable	3,459	3,742	4,756	4,118	3,682	3,537	3,704	4,458	5,354
Short-Term Borrowings	1,549	3,477	3,804	7,078	7,621	11,738	12,825	16,292	20,008
Other Short-Term Liabilities	7,617	7,617	7,617	7,617	7,617	7,617	7,617	7,617	7,617
Current Liabilities	**12,624**	**14,836**	**16,177**	**18,813**	**18,920**	**22,892**	**24,145**	**28,367**	**32,979**
Long-Term Borrowings	8,637	11,289	12,160	14,850	19,755	22,074	29,908	33,375	37,091
Other Long-Term Liabilities	1,337	1,800	2,156	2,866	7,187	8,990	10,079	10,079	10,079
Long-term Liabilities	**9,974**	**13,089**	**14,316**	**17,716**	**26,942**	**31,064**	**39,987**	**43,455**	**47,170**
Total Liabilities	**22,598**	**27,925**	**30,493**	**36,529**	**45,862**	**53,956**	**64,132**	**71,822**	**80,150**
Shareholders' Equity	**18,790**	**23,210**	**37,481**	**40,938**	**47,996**	**47,106**	**50,447**	**54,068**	**59,697**
Total Liabilities and Equity	**41,389**	**51,135**	**67,974**	**77,467**	**93,858**	**101,062**	**114,579**	**125,890**	**139,847**
Net Debt	*6,912*	*10,941*	*7,452*	*12,786*	*19,308*	*22,909*	*20,967*	*19,815*	*17,049*
	-	-	-	-	-	-	-	-	-

Cash Flow Statement (KRW bn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	682	3,954	2,195	2,054	516	(745)	861	3,621	5,629
Depreciation & Amortization	2,312	2,845	3,354	3,957	4,672	5,353	6,492	6,795	6,800
Changes in Net Working Capital	(875)	(3,738)	(3,646)	1,234	8	1,966	821	(2,418)	(2,818)
Other	3,895	2,453	(1,333)	291	1,817	1,661	2,698	-	-
Cash Flow From Operations	**6,014**	**5,514**	**570**	**7,536**	**7,013**	**8,235**	**10,871**	**7,998**	**9,611**
Capex	(5,300)	(7,100)	(9,822)	(14,301)	(14,924)	(13,310)	(6,353)	(6,845)	(6,845)
Other	(178)	1,746	593	1,175	1,416	1,629	3,566	-	-
Cash Flow From Investing	**(5,478)**	**(5,354)**	**(9,229)**	**(13,126)**	**(13,508)**	**(11,681)**	**(2,787)**	**(6,845)**	**(6,845)**
Borrow/Repay	1,772	4,580	1,199	5,963	5,447	6,437	8,922	6,935	7,431
Other	(826)	(4,457)	12,133	195	(556)	(194)	(6,460)	-	-
Cash Flow From Financing	**946**	**123**	**13,332**	**6,158**	**4,891**	**6,243**	**2,462**	**6,935**	**7,431**
Net Cash Flow	**1,483**	**283**	**4,673**	**568**	**(1,604)**	**2,797**	**10,545**	**8,087**	**10,197**
Cash at Beginning of Period	11,558	16,800	23,004	31,062	34,440	31,020	52,835	95,749	132,122
FX effect	(97)	559	64	76	303	1,357	317	-	-
Cash at End of Period	**12,944**	**17,642**	**27,741**	**31,706**	**33,139**	**35,174**	**63,697**	**103,836**	**142,320**

Source: Company data, Bernstein estimates and analysis

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

This research publication covers six or more companies. For valuation methodology and other company disclosures:
Please visit: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.
Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RISKS

This research publication covers six or more companies. For risks and other company disclosures:
Please visit: https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.
Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

PRICE CHARTS/ RATINGS AND PRICE TARGET HISTORY

This research publication covers six or more companies. For price chart and other company disclosures, please visit https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action or you can write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

CONFLICTS OF INTEREST

SG and/or its affiliates beneficially own 0.5% or more of [the total issued share capital/any class of common equity securities] with a net [long/short] position of: Contemporary Amperex Technology Co Ltd.

An affiliate of Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Contemporary Amperex Technology Co Ltd.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Contemporary Amperex Technology Co Ltd, EcoPro BM, LG Chem Ltd, LG Energy Solution and Samsung SDI Co Ltd.

Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Samsung SDI Co Ltd.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: LG Chem Ltd and LG Energy Solution.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

+1 Bernstein Institutional Services LLC; New York, New York, USA

+44 Bernstein Autonomous LLP; London UK

+212 Société Générale Global Solution Center Morocco, Casablanca, Morocco

+33 BSG France S.A.; Paris, France

+34 BSG France S.A.; Madrid, Spain

+41 Bernstein Autonomous LLP; Geneva, Switzerland

+49 BSG France S.A.; Frankfurt, Germany

+91 Sanford C. Bernstein (India) Private Limited; Mumbai, India

+852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China

+65 Sanford C. Bernstein (Singapore) Private Limited; Singapore

+81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for "Bernstein" and "Autonomous" research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the "Autonomous" and "Bernstein" brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.

- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to "Autonomous" branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation ("MAR") and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission ("SEC") and a member of the U.S. Financial Industry Regulatory Authority, Inc. ("FINRA") is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as "permitted client" as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. ("BTG") is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Financial Promotion Order"), (ii) are persons falling within Article 49(2)(a) to (d) ("high net worth companies, unincorporated associations, etc.") of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as "relevant persons"). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (https://www.sfc.hk/publicregWeb/corp/AXC846/details)). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are

securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com / scbincompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.

- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
  - do not have any financial interest in the subject company
  - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
  - is not engaged in any investment banking activities for Indian companies, as such;
  - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
  - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
  - have not received compensation for brokerage services from the subject company in the past twelve months;
  - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
  - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
  - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com / scbincompliance@bernsteinsg.com.
- Kindly refer to the Research investor charter and Research Most Important Terms & Conditions (MITC) available at (https://bernsteinresearch.in/)
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through

third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are “eligible counterparties”, “professional clients”, “institutional investors” and/or “professional investors” as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein’s express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein’s express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein’s research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)’ current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient

makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.